Statement for the Record
Submitted by Pretty Good Policy for Zcash

Financial Services Subcommittee on National Security, Illicit Finance, and International Financial Institutions
House of Representatives

"Oversight of the Financial Crimes Enforcement Network"
Hearing Date: July 21, 2026

Chairman Davidson, Ranking Member Beatty, and Members of the Subcommittee:

We appreciate the opportunity to submit this Statement for the Record in response to the Subcommittee's hearing entitled, "Oversight of the Financial Crimes Enforcement Network." We are writing in support of two critical concepts raised during the hearing: 1) preserving the bright line distinction in FinCEN's 2019 CVC Guidance that provides that non-custodial software developers are not money transmitters and 2) promoting financial privacy through privacy-preserving technologies.

About PGPZ

Pretty Good Policy for Zcash (PGPZ) is a community-oriented effort helping policymakers, regulators, industry stakeholders, and ecosystem partners understand Zcash and advance policy that protects financial privacy.

Zcash is a cryptocurrency and blockchain built to let people send value with strong privacy protections. Like Bitcoin, it has a fixed supply and a decentralized network, but it uses zero-knowledge cryptography so shielded transactions can be verified without publicly revealing the sender, recipient, or amount thereby allowing users to protect their financial privacy through selective disclosure.

Pushing Back Against the Growing Surveillance Apparatus

As Chairman Davidson rightly noted during the hearing, the Bank Secrecy Act (BSA) was enacted over a half-century ago to address organized crime's infiltration of our financial system. However, in the decades since, it has morphed into a growing surveillance apparatus that demands endless reports without delivering proportional results. Consequently, financial institutions file nearly 5 million Suspicious Activity Reports (SARs)[1] and over 21 million Currency Transaction Reports (CTRs)[2] annually.

This culture of over-reporting and defensive reporting extends far beyond daily financial transactions and into centralized government registries that aggregate sensitive consumer and business data. FinCEN's overly broad implementation of the Corporate Transparency Act (CTA), for example, initially treated millions of small businesses as potential money launderers, forcing the disclosure of personally identifiable information (PII) into federal databases vulnerable to misuse.[3] Creating massive, centralized honeypots of sensitive information exposes Americans to severe risks of data breaches, leaks, and government misuse. PGPZ applauds efforts to roll back this specific overreach, though the broader systemic issue remains.

Regulators and legislators do not need to sacrifice security and individual privacy to maintain financial oversight, however. Protecting sensitive information while still meeting compliance obligations is entirely achievable through modern privacy-preserving technologies. By deploying advanced cryptographic solutions, such as zero-knowledge proofs paired with selective viewing keys, a party can prove specified facts or disclose targeted transaction information without making all underlying data public.

Despite their clear benefits in securing sensitive information while satisfying regulatory standards, applications of privacy-preserving technologies are too often met with suspicion and unfairly conflated with engaging in illicit finance or nefarious activity. The mere act of utilizing a privacy-preserving digital wallet should not be met with the assumption that an individual is engaged in wrong-doing. Financial privacy receives important statutory protection in the United States; it is not a loophole to be closed by an ever-expanding administrative state.

The Importance of Explicitly Excluding Non-Custodial Developers from Regulation

During the hearing, this Subcommittee highlighted the necessity of maintaining a bright-line distinction that non-custodial software and hardware developers are not money transmitters. As FinCEN correctly established in its 2019 CVC Guidance, technology providers who merely supply non-custodial software or hardware and never obtain independent control over customer value do not qualify as financial intermediaries.[4]

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[1] Fin. Crimes Enf't Network, U.S. Dep't of the Treasury, Financial Crimes Enforcement Network (FinCEN) Year in Review for Fiscal Year 2025, at 10 (2026), https://www.fincen.gov/system/files/2026-05/FinCEN-Year-in-Review-2025.pdf.
[2] *Id*.
[3] Press Release, Nat'l Fed'n of Indep. Bus., *Small Businesses File Lawsuit Against Beneficial Ownership Requirements* (May 28, 2024), https://www.nfib.com/news/press-release/small-businesses-file-lawsuit-against-beneficial-ownership-requirements/.
[4] Fin. Crimes Enf't Network, U.S. Dep't of the Treasury, FIN-2019-G001, *Application of FinCEN's Regulations to Certain Business Models Involving Convertible Virtual Currencies* (May 9, 2019), 16, https://www.fincen.gov/system/files/2019-05/FinCEN%20CVC%20Guidance%20FINAL.pdf.

By definition, non-custodial developers are not money transmitters.The Bank Secrecy Act defines a "money transmitter" as "a person that provides money transmission services, or "any other person engaged in the transfer of funds."[5] "Money transmission services" are defined as "the acceptance of currency, funds, or other value that substitutes for currency from one person and the transmission of currency, funds, or other value that substitutes for currency to another location or person by any means."[6] Accordingly, it is inappropriate to treat individuals or entities who write code, publish software, or validate transactions but do not take custody of customer assets as money transmitters because they are not accepting funds or digital assets, nor are they sending those funds to another location or person. The developers are merely providing tools for users. For example, if a company develops a non-custodial digital wallet where users add funds to the wallet and send them to another location, the company is not receiving the funds or digital assets to hold on the user's behalf nor does the company have the ability to send those funds to another wallet. The key component of money transmission–the ability to exercise control over the funds–is not present in a user's transaction.

Another way to think about this is to liken non-custodial developers to a GPS app developer. The developer creates the app for users to navigate from one location to another, and the app is a tool that provides directions to the user. Neither the GPS app developer nor the app transports the user or controls the means of transportation. Moreover, the GPS app developer is not privy to the details or purpose of the travel. If someone drives a car, the driver controls the vehicle while the GPS app tells the driver how to get to their destination. If a driver is breaking the law by speeding, driving recklessly, or transporting contraband, the liability rests with the driver; it would be inappropriate to impose any liability on the GPS app developer simply for building an app that provides directions. Similarly, non-custodial developers create software that users operate themselves based on their own prerogatives. Extending money transmitter liability to non-custodial developers and holding them accountable for user conduct would be like charging the GPS app developer for the driver's infractions.

Impact of Preserving Developer Protections

Preserving these protections and ensuring FinCEN commits to upholding this bright-line distinction in its coordination with the Financial Action Task Force (FATF) and future rulemakings is essential. It codifies longstanding policy on which the American technology sector has come to rely. Without these explicit protections, non-custodial blockchain developers will face open-ended liability and the continuous threat of enforcement simply for writing code and providing software tools to users.

Moreover, the European Union and United Arab Emirates (UAE), both leaders in promulgating digital asset regulations to establish themselves as hubs for blockchain companies, have already explicitly recognized non-custodial blockchain developers should be exempt from laws seeking to regulate intermediaries in the Markets in Crypto Assets (MiCA) regulation, stating services provided in a "fully decentralised manner without any intermediary"[7] should not be included in its Crypto Asset Service Provider framework; and the UAE Securities and

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[5] 31 C.F.R. § 1010.100(ff)(5).
[6] *Id*.
[7] Regulation (EU) 2023/1114 of the European Parliament and of the Council of 31 May 2023 on Markets in Crypto-Assets, and Amending Regulations (EU) No. 1093/2010 and (EU) No. 1095/2010 and Directives 2013/36/EU and (EU) 2019/1937, recitals 22, 83, 2023 O.J. (L 150) 40, 44, 52.

Commodities Authority Virtual Asset Service Providers Rulebook — Business Regulation Module states that "self-custody (non-custodial wallets) is excluded" from its rules applying to digital wallets.[8] This explicit statutory clarity enables non-custodial developers to innovate without the Sword of Damocles hanging over their head, allowing them to focus on development while also incentivizing them to incorporate and build outside of the United States.

The Imperative of Financial Privacy and Zcash's Role

As discussions around illicit finance often dominate the regulatory dialogue, we must not lose sight of the foundational American principle that people have a right to privacy. Financial privacy is not a shield for illicit actors; it is a fundamental requisite for a safe and free society. In an increasingly digital economy, the loss of financial privacy leaves law-abiding citizens vulnerable to identity theft, corporate surveillance, and targeted harassment.

Zcash was designed specifically to address this vulnerability, providing a digital equivalent to physical cash. By utilizing cutting-edge zero-knowledge proofs, Zcash allows individuals and businesses to verify transactions on a decentralized public blockchain without publicly revealing the sender, recipient, or transaction amount.

Importantly, Zcash demonstrates that strong privacy protections do not preclude regulatory compliance. Zcash features selective disclosure capabilities, allowing users to voluntarily share transaction details through the use of viewing keys with auditors, tax authorities, or compliance officers. This approach illustrates how targeted compliance mechanisms can coexist with meaningful financial privacy; accordingly, we can empower individuals with privacy-preserving technologies that leave room for targeted, transparent compliance.

Conclusion

Individuals and entities who write code, publish software, or validate transactions without taking custody of customer assets should not be regulated as money transmitters or traditional financial intermediaries. And users of privacy-preserving technologies should not be flagged and met with suspicion. We urge Congress and FinCEN to definitively protect non-custodial developers and to re-center our anti-money laundering framework on true risk, rather than indiscriminate mass surveillance.

We look forward to engaging with you on this critical issue to protect financial privacy. Please direct any questions or comments to paul@pgpz.org or div@pgpz.org.

Very Truly Yours,

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[8] Sec. & Commodities Auth., Virtual Asset Service Providers Rulebook: Business Regulation Module, art. 95 (2023).